

Palantir Technologies Inc.

PLTR NYSE

Hold	\$171.32 ▼ 1.73%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$411.60B
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PLTR: Nebius Deal Overshadowed by Heavy Put Buying

WHAT HAPPENED

- PLTR announced Nebius as its "preferred sovereign AI partner" — meaning Nebius will provide the cloud/GPU muscle for PLTR's government AI deployments in countries that don't want their data on US hyperscalers. Nebius popped 6%, but PLTR sold off ~1.7%. Why the divergence? The market is asking whether PLTR is giving up margin (paying Nebius for compute) rather than building it themselves. That's the tell.
- Options flow is screaming caution — put/call ratio of 1.38 with unusual put buying at the \$165–170 strikes expiring this month. Someone with size is betting on more downside into September expiry.

WHY IT MATTERS

The Nebius partnership is strategically smart but financially ambiguous — it lets PLTR chase sovereign AI deals in Europe, the Middle East, and Asia where governments legally can't use AWS/Azure, but it means PLTR is now a middleman on the infrastructure layer instead of owning it. That likely caps gross margins over time, which matters a LOT when you're trading at 85x sales. Combine that with cluster insider selling (Director Friedman sold near \$182, plus repeated Buckley sales) and heavy near-term put buying, and the smart-money read is: near-term ceiling around \$185–190, with real air pockets below \$165 if the tape breaks. The bigger picture — sovereign AI is a real multi-year tailwind, but you're paying today's price for revenue that won't show up until 2027–2028.

POLICY & POLITICAL WATCH

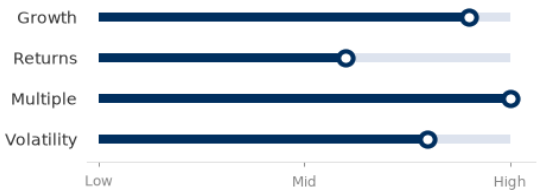
The key policy tailwind is the FY2027 defense authorization cycle currently being marked up in the Senate Armed Services Committee — early drafts include ~\$3B earmarked for "AI-enabled command and control," which is essentially PLTR's Maven and TITAN franchise. On the flip side, watch the EU AI Act enforcement phase kicking in this fall — it's actually a moat for PLTR because they've already built compliance into Foundry, while smaller competitors are scrambling. The Nebius deal today is also a direct response to the administration's "AI Diffusion Framework" push to export American AI stacks to allied nations — if that framework gets codified via executive order this quarter, PLTR is the biggest beneficiary in the software layer.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$171.32
12M Price Target	\$185.00
Upside / (Downside)	+8.0%
Market Cap	\$411.60B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	276.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$190.00	\$172.00	\$155.00
6 Months	\$220.00	\$185.00	\$140.00
1 Year	\$250.00	\$195.00	\$120.00
2 Years	\$320.00	\$230.00	\$100.00
5 Years	\$500.00	\$300.00	\$80.00
10 Years	\$800.00	\$450.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+3% on the week) and Energy — money is flowing to AI power/infrastructure plays as investors bet the compute buildout needs massive electricity. This is a second-order AI trade.

COOLING OFF: Consumer Discretionary (-1.9% on the week) — signals investors are getting defensive, worried about the consumer. That's a warning sign for high-multiple growth names like PLTR when risk-off kicks in.

ROTATION WATCH: Money is rotating from expensive software (PLTR flat-to-down) into AI infrastructure (utilities, data center power, GPU providers like Nebius). The market is saying "we still believe in AI, but we want cheaper ways to play it."

RELATED PLAY: If sovereign AI is the real theme, look at NBIS (Nebius directly — up 6% today), Vertiv (VRT) for data center cooling, and Constellation Energy (CEG) for the nuclear-to-AI power thesis.

WHO'S WINNING IN THIS SPACE?

- NBIS (Nebius Group): +6% today on the PLTR partnership — the market clearly thinks Nebius got the better end of this deal.
- CEG (Constellation Energy): AI power demand story keeps compounding as hyperscalers sign nuclear PPAs.

PLTR CONTEXT: PLTR is lagging both the AI infrastructure trade and the broader tech tape (XLK +0.4% today, PLTR -1.7%). When a stock can't rally on its own news, that's a tell — it means the buyers are exhausted at these levels and the marginal trade is profit-taking.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business and the policy tailwinds, but the valuation makes me cautious about adding here.

POSITION SIZE: 2-4% of portfolio — the story is real but the multiple means any bad news creates 20%+ drawdowns.

ENTRY POINTS: I'd wait for pullbacks to \$150–160, which is where the stock has bounced multiple times this year. Don't chase \$180+.

TIME HORIZON: 12–24 months — the catalyst I'm waiting for is the FY2027 defense budget passing with AI funding intact (late Q4 2026/early Q1 2027).

WHEN TO BAIL: If government revenue growth drops below 30% year-over-year, or if insider selling accelerates beyond the current cluster, I'm trimming. A break below \$150 on volume is a technical exit signal.

HEDGING: Buy protective puts 10% out of the money if you're holding a full position — think of it as insurance that pays off if the stock crashes. Costs a small premium but caps your downside on a name this volatile.